

We can also narrow down to select commodities or currencies that we would like to trade-in. We do this because not all strategies work in all kinds of assets. If we keep the trading universe too broad, we will not be able to track and understand the price movement of each asset. We will also get a lot of noise and false moves and as a result, we will have lots of trades and many of them will be unsuccessful. If we keep the universe too narrow, we will not be in a position to trade as we will not get enough signals. So, we have to maintain a balance between quality and quantity by selecting an adequate trading universe.

TYPE OF SECURITY TO BE USED

Once we have determined the asset universe that we will trade-in, the next step would be to determine the kind of security that we will use to enter trades. The math and risk-reward for each of these security types are different. Let us understand these in greater detail and which ones will we use.



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CASH TRADING

Cash trading means buying the asset by paying the full price with cash for the asset. This means if we buy 100 shares of Rs. 200 each, we will pay Rs. 20,000 in cash right away and the stock will be delivered to us. This is called cash trading as we are buying and selling the actual asset using cash and we are not using any leverage in the trade. In cash trade, we cannot lose more than what we have invested as we cannot lose more than what the asset is worth. The price of the asset will at-max go down to zero and will never go down to a negative number. So, cash trades do not magnify our risk-return. The profit or loss in percentage terms is equal to the percentage change in the asset price. We can only go long on the assets in India i.e. benefit from the price increase. Cash trading is normal buying and holding of the asset and benefit from the price change.